

NOTE 11 Investments in debt securities at amortised cost

Investments in debt securities measured at amortised cost by credit ratings

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
4	378,064	281,636
1	0	1,897
Total	378,064	283,533

1 - aligned with credit ratings AAA or equivalent

2-4 - aligned with credit ratings AA+ to A- or equivalent

All the investments in debt securities are government bonds.

NOTE 12 Loans and advances to customers

Loans and advances to customers

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Corporate lending	3,386,246	2,783,873
Consumer financing	112,707	104,913
Investment financing	10,715	9,920
Leasing	174,806	180,116
Private lending	1,822,619	1,513,084
Total	5,507,093	4,591,906
Allowance for credit losses	-41,702	-39,813
Total	5,465,391	4,552,093

Expected credit losses accumulated during the year differ from the amount of impairment losses recognised in profit or loss by the amount of items which were written off as uncollectable in previous periods but collected during the reporting period. Related receipts were recognised within expected credit losses in profit or loss statement.

For credit risk exposures and quality of credit portfolio, see the 'Risk and Capital Management' section 7.3.3 and 7.3.4.

The distribution of loans granted by currency is disclosed in the 'Risk and Capital Management' section 7.5.1.

The distribution of loans granted by maturity is disclosed in the 'Risk and Capital Management' section 7.4.1.

For interest income on loans granted, see Note 6.

NOTE 13 Expected credit losses on financial assets measured at amortised cost

Expected credit losses on financial assets measured at amortised cost

<i>EUR thousand</i>	2025	2024
Expected credit losses on loans and advances	1,542	16,246
Expected credit losses on financial assets (liquidity portfolio)	-24	10
Total	1,518	16,256

NOTE 14 Receivables from customers

Receivables from customers

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Asset management fees from customers	2,890	2,284
Other fees for providing services to customers	1,555	1,002
Payments in transit and other receivables	7,890	1,450
Total	12,335	4,736

All receivables are expected to be settled within 12 months of the end of the reporting period and are thus considered to be current assets.

NOTE 15 Other assets

Other assets

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Financial assets		
VISA and MasterCard guarantee deposits	272	281
Subtotal	272	281
Non-financial assets		
Prepayments to Financial Supervision	1,065	928
Other prepayments*	5,468	5,631
Subtotal	6,533	6,559
Total	6,805	6,840

*Prepayments for office rental, insurance, communication services, periodicals and training

Prepayments are expected to be refunded or used within 12 months of the end of the reporting period and are therefore classified as current assets. VISA guarantee deposits, which secure credit card transactions, are classified as non-current assets.

NOTE 16 Property, plant and equipment, right-of-use assets and intangible assets

PPE and intangible assets

<i>EUR thousand</i>	PPE	Right-of-use assets	Total tangible assets	Intangible assets	Costs incurred for the acquisition of customer contracts	Total intangible assets
Balance as at 31 Dec 2023						
Cost	19,181	21,047	40,228	19,060	18,470	37,530
Accumulated depreciation and amortisation	-7,931	-10,188	-18,119	-12,234	-11,453	-23,687
Carrying amount as at 31 Dec 2023	11,250	10,859	22,109	6,826	7,017	13,843
Additions	1,209	1,621	2,830	3,268	1,154	4,422
Write-off*	-177	-1,789	-1,966	0	0	0
Recalculations	0	0	0	953	0	953
Depreciation/amortisation (Note 8)	-3,396	-1,371	-4,767	-3,843	-1,332	-5,175
Balance as at 31 Dec 2024						
Cost	20,213	20,879	41,092	23,281	19,624	42,905
Accumulated depreciation and amortisation	-11,327	-11,559	-22,886	-16,077	-12,785	-28,862
Carrying amount as at 31 Dec 2024	8,886	9,320	18,206	7,204	6,839	14,043
Additions	79	8	87	2,190	422	2,612
Write-off*	-4,644	0	-4,644	-3,363	0	-3,363
Recalculations	-71	-107	-178	-188	132	-56
Depreciation/amortisation (Note 8)	-3,262	-3,049	-6,311	-3,304	-1,141	-4,445
Balance as at 31 Dec 2025						
Cost	15,577	20,780	36,357	21,920	20,178	42,098
Accumulated depreciation and amortisation	-9,945	-14,608	-24,553	-16,018	-13,926	-29,944
Carrying amount as at 31 Dec 2025	5,632	6,172	11,804	5,902	6,252	12,154

*Writing off fully depreciated tangible and intangible assets.

PPE includes computers, office equipment, furniture, and capitalised office renovation costs. Intangible assets include licences, acquisition costs of contracts with customers and development costs. The Group leases office premises and these are recognised as right-of-use assets from the date when the leased asset becomes available for use by the Group. In 2025 and 2024, there was no indication of impairment of PPE and intangible assets.

NOTE 17 Deposits from customers

Deposits from customers 31 Dec 2025

<i>EUR thousand</i>	Individuals	Financial entities	Non-financial entities	Public sector	Total
Demand deposits	1,345,169	1,760,381	2,146,959	54,492	5,307,001
Term deposits	1,808,438	145,262	785,080	88,657	2,827,437
Total	3,153,607	1,905,643	2,932,039	143,149	8,134,438

Deposits from customers 31 Dec 2024

<i>EUR thousand</i>	Individuals	Financial entities	Non-financial entities	Public sector	Total
Demand deposits	1,055,141	1,591,310	1,684,385	102,063	4,432,899
Term deposits	1,359,221	156,189	918,197	43,604	2,477,211
Total	2,414,362	1,747,499	2,602,582	145,667	6,910,110

The distribution of deposits from customers by currency is presented in the 'Risk and Capital Management' section, subsection 7.5 and by maturity is presented in the 'Risk and Capital Management' section, subsection 7.4.

NOTE 18 Accounts payable and other liabilities

Payables to employees consist of salaries payable and bonus and vacation pay accruals for the reporting period. The increase in payables to employees is attributable to growth in the number of employees during the year. Payments in transit consist of foreign payments and payables to customers related to the intermediation of securities transactions, for which the customer's current account has been debited. All liabilities, except for financial guarantees and part of lease liabilities, are payable within 12 months and are therefore classified as current liabilities.

Accounts payable and other liabilities

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Financial liabilities		
Trade payables	1,505	4,961
Other short-term financial liabilities	11,758	1,982
Lease liabilities	6,460	10,119
Payments in transit	23,539	30,207
Provision of loan commitments and financial guarantees	2,741	6,368
Prepayments received for financial guarantees	2,023	1,156
Subtotal	48,026	54,793
Non-financial liabilities		
Prepayments received for performance guarantees	2,044	1,943
Tax liabilities	5,971	12,916
Payables to employees	7,045	6,178
Other short-term liabilities	1,102	988
Subtotal	16,162	22,025
Total	64,188	76,818

Lease liabilities

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Opening balance	10,119	13,415
New leases	0	0
Payments	-3,517	-3,395
Interest	285	283
Other	-427	-184
Closing balance	6,460	10,119

NOTE 19 Subordinated debt and loans received

Consistent with the nature of the Group's operations, subordinated debt raised is reported within cash flows from financing activities in the statement of cash flows. Other loans raised are reported within cash flows from operating activities.

The Group has raised subordinated debt to increase long-term capital. In the case of default of the Group, the subordinated debt is repayable after all other debts have been settled, but before debts to shareholders are paid. The balances of subordinated debt as at the end of the reporting and the comparative period are disclosed in the table below.

Subordinated debt

<i>EUR thousand</i>	Amount	Interest rate	Maturity date
Subordinated debt as at 31 Dec 2024	125,744		
Tier 2 subordinated bond	744	8.50%	30 September 2032
Tier 2 subordinated bond	35,000	6.00%	30 September 2030
Tier 2 subordinated bond	35,000	10.50%	29 September 2033
Tier 2 subordinated bond	20,000	6.00%	15 November 2034
Tier 1 subordinated bond	20,000	10.50%	perpetual
Tier 1 subordinated bond	15,000	9.50%	perpetual
Subordinated debt as at 31 Dec 2025	205,744		
Tier 2 subordinated bond	744	8.50%	30 September 2032
Tier 2 subordinated bond	80,000	5.50%	16 September 2035
Tier 2 subordinated bond	35,000	10.50%	29 September 2033
Tier 2 subordinated bond	20,000	6.00%	15 November 2034
Tier 1 subordinated bond	20,000	10.50%	perpetual
Tier 1 subordinated bond	50,000	9.50%	perpetual

Loans from financial institutions and debt securities in issue

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Debt securities in issue	489,820	427,525
Covered bonds	553,797	500,161
Total	1,043,617	927,686

Subordinated debt

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Opening balance	126,256	126,653
Issued during the period	130,000	20,000
Redeemed during the period	-50,000	-20,000
Interest expense (Note 6)	13,795	10,292
Interest paid out	-11,835	-10,689
Other changes	-1,288	0
Closing balance	206,928	126,256

AS LHV Group issued EUR 50M of Additional Tier 1 (AT1) bonds in April 2025. The bonds carry a coupon rate of 9.5% and are rated Ba3 (hyb) by Moodys. AT1 bonds are perpetual in nature, the first call date is 5 years after the issue date. The bonds were issued to institutional investors in Europe - approximately half of the bonds were allocated to investors from Great Britain and appx. 38% of the bonds were allocated to investors from the Baltic states. At the same time, on 30 April 2025 the Group called back EUR 15M of AT1 bonds issued in April 2020.

In June 2025, LHV Pank issued EUR 300M of covered bonds. The bonds carry a coupon rate of 2.625% and the yield for investors was 2.68%. Notes were rated Aaa by Moodys. The bonds were issued with an original maturity of 4 years. The issue was oversubscribed 2.5 times. 42% of the bonds were allocated to asset managers from Scandinavia, 20% to investors from Germany, and the rest of the bonds were allocated to investors mostly from CEE countries.

LHV Pank also issued retained covered bonds in 2025. The amount of outstanding retained covered bonds amounted to EUR 450M as at 31.12.2025. Retained covered bonds are treated as part of LHV Pank's counterbalancing capacity and were unencumbered as of 31.12.2025.

All covered bonds, both retained and those issued to the market are issued under LHV Pank's covered bond program. In 2025, the covered bond program was increased from EUR 1 billion to EUR 1.5 billion. Moodys upgraded the rating of the covered bond program and all notes issued under it to Aaa in April 2025, up from Aa1.

In June 2025, LHV Group issued EUR 60M of senior unsecured MREL eligible bonds. The bonds carry a coupon of 4.125% and the yield for investors was 4.24%. Notes were rated Baa3 at the time of issue. Bonds have an original maturity of 4 years, and the Group can call the bonds back after 3 years since the issuance. Bonds were oversubscribed approximately 1.5 times. 38% of the notes were allocated to investors from the Baltic states, 25% to investors from the Scandinavian countries and the rest to investors from the Great Britain and CEE countries.

In September 2025 LHV Group issued Tier 2 bonds in amount of EUR 80M. The bonds carry a coupon rate of 5.5% and the yield to investors was 5.54%. Notes were rated Ba1 by Moodys. The Tier 2 bonds have an original maturity of 10 years, and the Group can call them back after 5 years since the issuance. The issue was oversubscribed 3.6 times. 41% of the notes were allocated to investors from the United Kingdom, 19% to investors from the Germany, Austria, Switzerland, 18% to Baltic investors and the rest was allocated to investors from other European countries.

The rating agency Moody's Investors Service upgraded on 1 September 2025 LHV Group's long-term local currency issuer rating and unsecured debt obligations to Baa2, with a positive outlook.

The distribution of loans received by currency is presented in the 'Risk and Capital Management' section, subsection 7.5.

The distribution of loans received by maturity is presented in the 'Risk and Capital Management' section, subsection 7.4.

NOTE 20 Shareholders' equity

Transactions with share capital and share premium						
	Time	Share price (EUR)	Number of shares (thousand)	Share capital (EUR thousand)	Share premium (EUR thousand)	Total (EUR thousand)
Share capital and share premium as at 1 Jan 2024			319,832	31,983	143,372	175,355
Paid in share capital*	May 2024	0.92	4,357	436	3,586	4,022
Share capital and share premium as at 31 Dec 2024			324,189	32,419	146,958	179,377
Paid in share capital*	May 2025	2.18	3,667	367	7,635	8,002
Share capital and share premium as at 31 Dec 2025			327,856	32,786	154,593	187,379

*issuing shares upon the exercise of employee share options

Share capital has been fully paid in using cash contributions. The nominal value of the shares is 0.1 euro each and as at 31 December 2025 the number of shares was 327,856,146 (31 December 2024: 324,188,933). Each share carries one vote at the General Meeting.

According to AS LHV Group's articles of association, the company's minimum share capital is EUR 15 million and maximum share capital is EUR 60 million (31 December 2024: EUR 15 and EUR 60 million, respectively).

Rain Lõhmus, who owns 20.94% of the voting rights, and Andres Viisemann, who owns 10.94% of the voting rights in AS LHV Group, have significant influence over the company (31 December 2024: 21.18% and 11.04%, respectively).

Under the current capital requirements set by the CRR, banks have to maintain a ratio of regulatory capital to risk weighted assets above a prescribed minimum level (Tier 1 ratio and Total capital ratio). Based on information provided internally to key management Group's regulatory core tier 1 capital was EUR 662,1 thousand as of 31 December 2025 (2024: EUR 600,0 thousand), regulatory Tier 1 capital amounts to EUR 732,3 thousand (2024: EUR 635,3 thousand), total regulatory capital amounts to EUR 868,3 thousand (2024: EUR 725,5 thousand) and the Group has complied with all externally imposed capital requirements throughout 2025 and 2024.

In the reporting period, the Group paid dividends to shareholders of EUR 0.09 (2024: EUR 0.13) per share and EUR 29,177 thousand (2024: EUR 41,578 thousand) in total.

As at 31 December 2025, the retained earnings of the Group totalled EUR 562,576 thousand (31 December 2024: EUR 469,727 thousand). Using the retained earnings as at the reporting date, the Group could distribute a maximum dividend of EUR 438,809 thousand (2024: EUR 366,387 thousand). Potential dividend would be taxed at 22% (the amount of tax payable would be calculated as 22/78 of the net distribution). The related income tax charge would be EUR 123,767 thousand (2024: EUR 103,340 thousand).

At 31 December 2025, treasury shares include 2,099,703 shares of the LHV Group (2024: 0 shares) owned by LHV Group. These shares carry voting rights in the same proportion as other shares.

Other reserves in the consolidated statement of changes in equity consist of:

Other reserves		
EUR thousand	31 Dec 2025	31 Dec 2024
Reserve of share options granted to staff	13,030	13,830
Reserve of unrealised foreign exchange gains or losses	-2,528	2,441
Total	10,502	16,271

The Group grants share options to the members of the Management Boards and equivalent staff as well as the department managers and equivalent staff of Group entities. Total expenses arising from share-based payment transactions amounted to EUR 6,961 thousand in 2025 (2024: EUR 6,809 thousand), which were recognised in the share-based payment reserve in equity. For the share options vested during the year, the share-based payment reserve in the amount of EUR 7,761 thousand (2024: EUR 3,308 thousand) were transferred from share-based payment reserve to retained earnings.

	2025		2024	
	Number of options	Weighted average strike price	Number of options	Weighted average strike price
As at 1 Jan	10,865,493	1.88	11,355,051	1.56
Granted during the year	5,231,650	1.63	3,866,632	1.74
Exercised during the year	-3,667,213	2.182	-4,356,190	0.923
Expired during the year	-19,977	2.182	0	0
As at 31 Dec	12,409,953	1.68	10,865,493	1.88

The weighted average share price at the date of exercise of options exercised during the year ended 31 December 2025 was EUR 3.52 (31 December 2024: EUR 3.49).

There were no options cancelled or forfeited in 2025 and 2024.

Share options outstanding at the end of the year have the following expiry dates:

Grant date	Expiry rate	Share options 31 Dec 2025	Share options 31 Dec 2024
April 22	April 25	0	3,687,190
April 23	April 26	3,311,671	3,311,671
April 24	April 27	3,866,632	3,866,632
April 25	April 28	5,231,650	0
Total		12,409 953	10,865,493
Weighted average remaining contractual life of options outstanding at end of period		1.49	1.35
Range of exercise prices of options outstanding at the end of period		1.63-1.74	1.7-2.182

Inputs for share options are as follows:

	Share options issued in 2025	Share options issued in 2024
Grant date	April 25	April 24
Expiry date	April 28	April 27
Share price at grant date	3.25	3.48
Strike price	1.63	1.74
Risk-free interest rate	2.70%	3.22%
Expected dividend yield	2.64	2.86
Expected annual TSR volatility of the company's shares	0.16	0.09
Number of people to whom the share options were granted	264	227

The vesting period for all share options in the option programme is 3 years. The right to subscribe for shares arises on the first day of the exercise period. The assessed fair value at grant date of options granted during the year ended 31 December 2025 was EUR 1.51 per option (31 December 2024: EUR 1.61). The grant date fair value was calculated using the Black-Scholes model. The model inputs were the LHV Group share price in Q4 2025, price volatility, the interest rates of Estonian government bonds used as proxies for risk-free instruments and the dividend yield.

The price volatility is based on historic daily price changes of the underlying shares, dividends and capital returns for the same period as used for calculating the share price used in the model, adjusted for any expected changes to future volatility due to publicly available information.

In 2025, the share options granted in 2022 were not fully exercised, 19,977 shares were not exercised. The Group may grant share options for the results of 2025.

The members of the Management Board and employees cannot receive a specified amount of cash in lieu of the share options. Share options cannot be exchanged, sold, pledged, or encumbered. Share options can be inherited. The contract on share options expires upon early termination of the employment or board member contract on the initiative of the employee or board member, for which exceptions can be made by the Supervisory Board of AS LHV Group or the Remuneration Committee based on the decision of the Supervisory Board, and upon extraordinary termination of the employment or board member contract by the employer due to reasons resulting from the employee or board member. According to the Credit Institutions Act, the Supervisory Board of AS LHV Group can reduce the number of share options granted or cancel the share options if the overall financial results of the company have significantly deteriorated compared to the previous period, the member of the Management Board or employee no longer meets the performance criteria, the company no longer meets the prudential regulations, the company's business risks are not adequately covered by the company's own funds or the performance fee has been determined based on information, which has subsequently proven to be materially misstated or incorrect.

NOTE 21 Assets under custody

AS LHV Pank, as an account manager for its customers, has custody of or intermediates the following customer assets:

EUR thousand	31 Dec 2025	31 Dec 2024
Cash balances of customers	9,528	16,986
Securities of customers	3,988,351	3,556,494
Total	3,997,879	3,573,480

Asset management fees for the management of the above assets were in the range of 0.01-0.02% per year in 2025 (2024: 0.01-0.02% per year) (for respective income, see Note 7).

The monetary funds of customers who use the platform for an active securities trader, i.e., the trading system LHV Trader offered by LHV Pank are not recognised in the statement of financial position. Due to the nature of the system, LHV Pank deposits the funds in personalised accounts with its partner and as the funds cannot be used for business purposes by LHV Pank (they cannot be lent to other customers or used as collateral), they are accounted for off the statement of financial position. LHV Pank earns commission and interest income on the intermediation of transactions involving these accounts similarly to transactions involving customer accounts recognised in the financial statements.

LHV has a cooperation with IB, providing our customers access to IB's trading platform. This collaboration allows our customers to leverage their investment portfolios by using equities as collateral to obtain loans, which can then be reinvested into additional equities. IB employs sophisticated monitoring systems that closely tracks customer's positions. These systems are designed with pre-emptive thresholds to ensure proactive measures are taken well before the collateral's value approaches critical levels. Specifically, the system intervenes before the collateral value falls below the outstanding loan balance, prompting customers to either reduce their loan balance or provide additional collateral.

If customer does not take the necessary corrective action, the system is programmed to automatically liquidate the collateral to satisfy the outstanding loan. The loans extended to our customers, are managed with a high degree of prudence, including the application of a "haircut" to the collateral value, ensuring that the collateral always exceeds the loan amount. LHV has entered into an agreement with IB, wherein we assume responsibility for any shortfall. Should the proceeds from collateral liquidation be insufficient to cover the loan, the platform charges the deficit to LHV. This arrangement underscores our commitment to safeguarding the financial integrity of our clients' leveraged investments. To date, there has not been any instance where LHV has been required to cover a loss under this arrangement. The fair value of these guarantees is considered to be zero, based on the following methodology: The fair value of the guarantee is calculated as the discounted value of the Expected Loss (EL), where: $EL = \text{Probability of Default (PD)} \times \text{Loss Given Default (LGD)}$.

LHV considers the LGD for these loans to be zero euros, due to the highly automated processes employed by IB. If either the PD or LGD is considered zero in this calculation, the resulting fair value of the guarantee is also zero. Customers have provided similar guarantees to LHV Pank and, therefore, LHV Pank has in substance transferred the guarantees received. To avoid potential losses, LHV Pank monitors customer accounts on a daily basis to identify potential decreases in collateral or deficiency of funds. To date, no claims have been filed against the guarantees and LHV Pank has not made any payments under the guarantees.

NOTE 22 Contingent assets and liabilities

Non-cancellable agreements

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Consumer financing	28,305	51,817
Corporate lending	904,287	627,412
incl. performance guarantees	134,577	110,674
incl. financial guarantees	162,050	111,574
incl. letters of credit	400	1,071
Private lending	47,856	51,093
Investment financing	46,656	0
Leasing	0	0
Total gross	1,027,104	730,322
Provision of loan commitments and financial guarantees	-2,670	-6,368
Total carrying amount	1,024,434	723,954

Income tax on potential future dividends is disclosed in Note 20.

Tax authorities have the right to review the Group's tax records for up to 5 years after the submission of a tax return and upon finding errors may charge additional taxes, interest and fines. Tax authorities did not perform any tax audits at the Group during 2024-2025. According to the assessment of the Group's management, there are no circumstances which would cause tax authorities to charge a significant amount of additional tax from the Group in 2026.

Financial guarantees and unused loan commitments are subject to the ECL requirements of IFRS 9. See also the 'Risk and Capital management' section, subsection 7.3 for more information.

Performance guarantees are contracts that provide compensation in the event another party fails to perform a contractual obligation. Such contracts do not transfer credit

risk. The risk under performance guarantee contracts is the possibility of the insured event (i.e., another party's failure to perform a contractual obligation) occurs. The key risks the Group faces are significant fluctuations in the frequency and severity of payments incurred on such contracts relative to expectations. The Group uses historical data and statistical techniques to predict the levels of such payments. Claims must be made before the contract expires and most claims are settled within a short term. This allows the Group to achieve a high degree of certainty about the estimated payments and, therefore, future cash flows. The Group manages such risks by constantly monitoring the level of payments for such products and has the ability to adjust its fees in the future to reflect any change in claim settlement experience. The Group has a claims handling process and the right to review the claims received and to reject any fraudulent or non-compliant claims.

The exposure to and concentration of performance guarantees expressed in the amounts guaranteed is as follows:

Performance guarantees breakdown by industry

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
Construction	104,179	74,088
Water and utilities	4,849	5,508
Manufacturing	5,334	5,963
Administrative activities	1,268	871
Professional, scientific, and technical activities	16,435	17,535
Other	2,512	6,709
Total	134,577	110,674

Performance guarantees breakdown by internal ratings

<i>EUR thousand</i>	31 Dec 2025	31 Dec 2024
1 low credit risk	0	0
2 low credit risk	0	0
3 low credit risk	0	0
4 low credit risk	0	0
5 low credit risk	4,909	5,010
6 low credit risk	69,996	11,630
7 medium credit risk	18,012	32,345
8 medium credit risk	36,729	16,523
9 heightened credit risk	3,308	42,575
10 high credit risk	138	0
11 high credit risk	596	836
12 non-satisfactory rating	0	243
13 insolvent	889	1,512
Total	134,577	110,674

Performance guarantees are over-collateralised as at each reporting date. Therefore, the Group has not incurred any losses from performance guarantee contracts in 2025 or in earlier periods.

NOTE 23 Transactions with related parties

For the purposes of the Group's financial statements, related parties include:

- Management - members of the Management Board;
- Other related parties - members of the Supervisory Board, their close family members and companies related to them, close family members and companies related to Management Board, owners that have significant influence over the Group and companies related to them;

Transactions

<i>EUR thousand</i>	Note	2025	2024
Interest income	6	3,276	3,639
incl. management		34	43
incl. other related parties		3,242	3,596
Fee and commission income	7	95	171
incl. management		3	6
incl. other related parties		92	165
Interest expense on deposits	6	113	345
incl. management		12	40
incl. other related parties		101	305
Interest expense on subordinated debt	6	121	146
incl. management		3	5
incl. other related parties		118	141

Balances

<i>EUR thousand</i>	Note	31 Dec 2025	31 Dec 2024
Loans and receivables		52,455	52,500
incl. management	14	158	770
incl. other related parties	14	52,297	51,730
Deposits		14,606	14,768
incl. management	17	730	917
incl. other related parties	17	13,876	13,851
Subordinated debt		1,245	1,904
incl. management	19	37	96
incl. other related parties	19	1,208	1,808

The table provides an overview of material balances and transactions with related parties. All transactions involving close family members and companies related to the members of the Management Board and the Supervisory Board and the minority shareholders of the parent company, AS LHV Group, were conducted in the course and on the terms of ordinary business. There are no doubtful receivables from related parties and no loans to related parties have been written down.

Loans granted to related parties have been issued on market terms.

As at 31 December 2025 and as at 2024, management had term and demand deposits. The interest rates of their demand and term deposits corresponded to the Group's official price list.

The interest rate of the subordinated debt raised in May 2020 is 9.5% and the interest rate of the subordinated debt raised in September 2020 is 6%. The interest rate of the subordinated debt raised in 2022 and in 2023 is 10.5%. The interest rate of the subordinated debt raised in 2024 is 6.0%. The interest rate of the subordinated debt raised in 2025 is 5.5% and 9.5%.

As at 31 December 2025, remuneration for December and accrued holiday pay of EUR 222 thousand (31 December 2024: EUR 234 thousand) were reported as payables to management (Note 18). The Group did not have any long-term payables or commitments to the members of the Management Board and the Supervisory Board as at 31 December 2025 and 31 December 2024 (pension liabilities, termination benefits, etc.). The remuneration paid to the members of the Group's Supervisory Board in 2025 totalled EUR 166 thousand (2024: EUR 140 thousand).

Key management personnel compensation

<i>EUR thousand</i>	2025	2024
Salaries and other compensations	1,012	1,178
Pension contribution	149	180
Health insurance	97	117
Share based payments	1,493	872
Total	2,751	2,347

The Group has signed contracts with the members of the Management Board, which do not provide for severance benefits upon termination of the contract. Any matters not regulated by the contracts are resolved in accordance with the laws of the Republic of Estonia.

NOTE 24 Basic and diluted earnings per share

Basic earnings per share are calculated by dividing net profit attributable to owners of the parent by the weighted average number of shares outstanding.

Basic and diluted earnings per share	2025	2024
Profit attributable to owners of the parent (EUR thousand)	114,265	148,968
Weighted average number of shares (thousand)	326,939	323,100
Basic earnings per share (EUR)	0.35	0.46
Weighted average number of shares used in calculating the diluted earnings per shares (thousands)	333,191	328,583
Diluted earnings per share (EUR)	0.34	0.45
Weighted average number of shares used as the denominator (thousands)	2025	2024
Weighted average number of ordinary shares used as the denominator in calculating basic earnings per share	326,939	323,100
Adjustments for calculation of diluted earnings per share:		
Share options	6,252	5,483
Weighted average number of ordinary shares and potential ordinary shares used as the denominator in calculating diluted earnings per share	333,191	328,583

NOTE 25 Income tax expense

LHV Group's subsidiary LHV Pank calculated advance corporate income tax at the rate of 18% in 2025 and 14% in 2024. Advance corporate income tax for the year 2025 was EUR 22,342 thousand (2024: EUR 22,661 thousand). Corporate income tax in the amount of EUR 4,667 thousand (2024: 2,159 thousand) includes the tax paid in UK and the dividend income tax paid in Estonia.

Income tax expense

EUR thousand	2025	2024
Advance corporate income tax	22,342	22,661
Corporate income tax	4,667	2,159
Total income tax expense	27,009	24,820
Effective tax rate	19%	14%

During the reporting period EUR 35,756 (2024: 18,750) thousand was used from the advance corporate income tax to cover the income tax related to the dividend payment. The balance of the paid and not used advance corporate income tax as of 31.12.2025 was EUR 43,121 thousand (2024: 56,534 thousand).

Reconciliation of tax expense

EUR thousand	LHV Pank	LHv Finance	LHV Varahaldus	LHV Paytech	LHV Kindlustus	LHv Group	LHV Bank	Total 2025
Profit before tax	127,896	6,941	4,689	500	2,522	127,491	7,868	277,907
Income tax rate	18%	0%	0%	0%	0%	0%	25%	
Income tax calculated on profit earned in the relevant entity	23,021	0	0	0	0	0	1,967	24,988
Income tax of the UK Branch	0	0	0	0	0	0	0	0
Income tax expense on dividends	0	1,636	564	0	0	0	0	2,200
Deferred income tax expense on dividends	0	0	140	0	0	0	428	568
Effect of non-taxable income on income tax	-679	0	0	0	0	0	198	-481
From prior periods	0	0	0	0	0	0	-266	-266
Total income tax	22,342	1,636	704	0	0	0	2,327	27,009

Reconciliation of tax expense

EUR thousand	LHV Pank	LHv Finance	LHV Varahaldus	LHV Paytech	LHV Kindlustus	LHv Group	LHV Bank	Total 2024
Profit before tax	162,652	3,611	2,417	665	1,199	82,032	5,048	257,624
Income tax rate	14%	0%	0%	0%	0%	0%	25%	
Income tax calculated on profit earned in the relevant entity	22,771	0	0	0	0	0	1,262	24,033
Income tax of the UK Branch	787	0	0	0	0	0	0	787
Income tax expense on dividends	0	326	800	0	0	295	0	1,421
Deferred income tax expense on dividends	0	669	76	0	0	0	-60	685
Effect of non-taxable income on income tax	-110	0	0	0	0	0	0	-110
From prior periods	0	0	0	0	0	0	-1,996	-1,996
Total income tax	23,448	995	876	0	0	295	-794	24,820

NOTE 26 Insurance revenue and expenses

Insurance revenue

EUR thousand

	2025	2024
Insurance revenue	41,081	34,969
Motor own damage insurance	11,684	11,046
Health insurance	11,199	9,199
Motor third party insurance	6,023	5,886
Private property insurance	3,693	2,769
Travel insurance	3,252	2,133
Appliances insurance	4,127	3,228
Other	1,112	708

Insurance service expenses

EUR thousand

	Incurred claims	Impact of onerous contracts	Amortisation of acquisition cash flows	Other direct costs	2025 Total	Incurred claims	Impact of onerous contracts	Amortisation of acquisition cash flows	Other direct costs	2024 Total
Motor own damage insurance	-8,297	0	-1,109	-2,242	-11,648	-7,441	0	-1,192	-2,334	-10,967
Health insurance	-9,439	0	-1,274	-2	-10,715	-6,893	0	-1,618	53	-8,458
Motor third party insurance	-3,536	191	-458	-1,172	-4,975	-4,626	-191	-487	-1,281	-6,585
Private property insurance	-2,313	0	-255	-653	-3,221	-1,554	98	-205	-565	-2,226
Appliances insurance	-743	0	-1,310	-706	-2,759	-802	0	-993	-661	-2,456
Travel insurance	-2,319	0	-137	-528	-2,984	-1,413	0	-19	-410	-1,842
Other	-359	0	-51	-189	-599	-299	0	-28	-177	-504
Total	-27,006	191	-4,594	-5,492	-36,901	-23,028	-93	-4,542	-5,375	-33,038

NOTE 27 Insurance contracts liabilities

In accordance with the current IFRS 17 Insurance Contracts, an insurance company may choose between two measurement models, the General Measurement Model (hereinafter GMM) and the simplified Premium Allocation Approach (hereinafter PAA). The term of the insurance contracts is usually one year, LHV Kindlustus uses the PAA to measure these insurance contracts. For groups of contracts with a coverage period more than 1 year, LHV Kindlustus performs a PAA eligibility test, which has concluded that the application of the PAA method does not result in materially different results compared to the GMM. Therefore LHV Kindlustus uses PAA for all its portfolios.

EUR thousand

	Liability for remaining coverage		Liability for incurred claims		
	Excluding loss component	Loss component	Present value of future cash flows	Risk adjustment	Total
Insurance contract liabilities 01.01.2024	9,491	98	3,838	159	13,586
Insurance contract assets 01.01.2024	0	0	-67	0	-67
Insurance revenue	-34,969	0	0	0	-34,969
Amortisation of acquisition costs	4,542	0	0	0	4,542
Incurred claims and other insurance service expenses	0	-98	23,443	192	23,537
Changes related to past service	0	0	-464	-143	-607
Changes related to future service	0	191	0	0	191
Insurance service result	-30,427	93	22,979	49	-7,306
Premiums received	35,255	0	0	0	35,255
Claims, benefits and handling costs paid	0	0	-21,588	0	-21,588
Acquisition cash flows	-4,689	0	0	0	-4,689
Total cash flows	30,566	0	-21,588	0	8,978
Insurance contract liabilities 31.12.2024	9,630	191	5,229	208	15,258
Insurance contract assets 31.12.2024	0	0	-89	0	-89

EUR thousand

	Liability for remaining coverage		Liability for incurred claims		
	Excluding loss component	Loss component	Present value of future cash flows	Risk adjustment	Total
Insurance contract liabilities 01.01.2025	9,630	191	5,229	208	15,258
Insurance contract assets 01.01.2025	0	0	-89	0	-89
Insurance revenue	-41,081	0	0	0	-41,081
Amortisation of acquisition costs	4,594	0	0	0	4,594
Incurred claims and other insurance service expenses	0	-191	28,247	201	28,257
Changes related to past service	0	0	-1,266	-176	-1,442
Changes related to future service	0	0	0	0	0
Insurance service result	-36,487	-191	26,981	25	-9,672
Premiums received	40,388	0	0	0	40,388
Claims, benefits and handling costs paid	0	0	-26,335	0	-26,335
Acquisition cash flows	-4,304	0	0	0	-4,304
Total cash flows	36,084	0	-26,335	0	9,749
Insurance contract liabilities 31.12.2025	9,227	0	5,875	233	15,335
Insurance contract assets 31.12.2025	0	0	-53	0	-53

NOTE 28 Parent Company Primary Financial Statements

In accordance with the Estonian Accounting Act, the notes to the consolidated financial statements must include the separate primary financial statements of the parent of the Group.

Parent company statement of profit or loss and other comprehensive income

<i>EUR thousand</i>	2025	2024
Interest income using the effective interest method	43,895	36,728
Interest expense	-42,772	-35,571
Net interest expense	1,123	1,157
Fee and commission income	2,000	2,098
Net fee and commission income	2,000	2,098
Dividends received	128,770	81,200
Foreign exchange losses	-18	-1
Net gain/loss from financial assets measured at fair value	-13	0
Net gain from financial assets	128,739	81,199
Staff costs	-1,621	-1,009
Administrative and other operating expenses	-2,750	-1,413
Profit before impairment losses	127,491	82,032
Impairment of subsidiary	-1,600	0
Profit before income tax	125,891	82,032
Income tax expense	0	-295
Total profit and other comprehensive income for the year	125,891	81,737

Parent company statement of financial position

EUR thousand

	Note	31 Dec 2025	31 Dec 2024
Assets			
Due from banks and investment companies		84,036	34,866
Loans and advances to customers		573,773	477,201
Receivables from customers and other receivables		666	527
Investments in subsidiaries		368,772	267,216
Property, plant and equipment		54	0
Strategic financial investments		1,000	1,000
Total assets		1,028,301	780,810
Liabilities			
Financial liabilities at fair value through profit or loss		95	0
Accounts payable and other liabilities		492	434
Debt securities in issue		489,820	427,525
Subordinated debt		206,182	125,510
Total liabilities		696,589	553,469
Equity			
Share capital	20	32,786	32,419
Share premium	20	154,593	146,958
Legal reserve		4,713	4,713
Treasury shares	20	-7,271	0
Other reserves		13,030	13,830
Retained earnings		133,861	29,421
Total equity		331,712	227,341
Total liabilities and equity		1,028,301	780,810

Parent company statement of cash flows

EUR thousand

	2025	2024
Cash flows from operating activities		
Interest received	43,784	33,410
Interest paid	-39,475	-26,695
Fees and commissions received	2,000	2,098
Staff costs paid	-723	-654
Administrative and other operating expenses paid	-2,768	-1,414
Income tax paid	0	-295
Cash flows from operating activities before changes in operating assets and liabilities	2,818	6,450
Increases/decreases in operating assets and liabilities:		
Loans granted	-96,689	-121,500
Net change of debt securities in issue	60,000	100,000
Change in other receivables	139	109
Change in other liabilities	-221	4,634
Net cash from operating activities	-33,953	-10,307
Cash flows from investing activities		
Purchase of PPE and intangible assets	-54	0
Capital contributions to subsidiaries	-98,086	-24,417
Dividends received	128,770	81,200
Net cash from investing activities	30,630	56,783
Cash flows from financing activities		
Subordinated debt raised	130,000	20,000
Subordinated debt settled	-50,000	-20,000
Distribution of the voluntary reserve	957	0
Acquisition of treasury shares	-7,271	0
Contribution to share capital (incl. share premium)	8,002	4,021
Dividends paid	-29,177	-41,578
Net cash from/used in financing activities	52,511	-37,557
Effect of changes in foreign exchange rates on cash and cash equivalents	-18	0
Cash and cash equivalents at the beginning of the year	34,866	25,947
Increase in cash and cash equivalents	49,170	8,919
Cash and cash equivalents at the end of the year	84,036	34,866

Parent company statement of changes in equity

<i>EUR thousand</i>	Share capital	Share premium	Statutory reserve capital	Other reserves	Treasury shares	Accumulated loss/retained earnings	Total
Balance as at 1 Jan 2024	31,983	143,372	4,713	10,329	0	-14,046	176,351
Paid in share capital	436	3,586	0	0	0	0	4,022
Dividends paid	0	0	0	0	0	-41,578	-41,578
Acquisition of treasury shares	0	0	0	0	0	0	0
Transfer to legal reserve	0	0	0	0	0	0	0
Share options	0	0	0	3,501	0	3,308	6,809
Total other comprehensive income for 2024	0	0	0	0	0	81,737	81,737
Balance as at 31 Dec 2024	32,419	146,958	4,713	13,830	0	29,421	227,341
Carrying amount of interests under control and significant influence	0	0	0	0	0	-256,741	-256,741
Value of interests under control and significant influence under equity method	0	0	0	0	0	699,488	699,488
Adjusted unconsolidated equity as at 31 Dec 2024	32,419	146,958	4,713	13,830	0	472,168	670,088
Balance as at 1 Jan 2025	32,419	146,958	4,713	13,830	0	29,421	227,341
Paid in share capital	367	7,635	0	0	0	0	8,002
Dividends paid	0	0	0	0	0	-29,117	-29,117
Acquisition of treasury shares	0	0	0	0	-7,271	0	-7,271
Transfer to legal reserve	0	0	0	0	0	0	0
Share options	0	0	0	-800	0	7,666	6,866
Total other comprehensive income 2025	0	0	0	0	0	125,891	125,891
Balance as at 31 Dec 2025	32,786	154,593	4,713	13,030	-7,271	133,861	331,712
Carrying amount of interests under control and significant influence	0	0	0	0	0	-357,634	-357,634
Value of interests under control and significant influence under equity method	0	0	0	0	0	783,821	783,821
Adjusted unconsolidated equity as at 31 Dec 2025	32,786	154,593	4,713	13,030	-7,271	560,048	757,899

Adjusted unconsolidated equity is the maximum amount that can be distributed to shareholders according to Estonian legislation.

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Signatures of the Management Board on the Annual Report

The Management Board has prepared AS LHV Group consolidated annual report for the financial year ended 31 December 2025, consisting of Part I (Strategic and Performance Overview), Part II (Thematic Reviews: Governance, Risks and Sustainability) and Part III (Financial Statements and Notes), the independent auditor's report and the proposal for the distribution of profit, and has approved them for submission to the Annual General Meeting of shareholders.

The Management Board confirms that, to the best of its knowledge, the presented consolidated annual financial statements give a true and fair view of the financial position of the Group, comprising the parent company and its consolidated subsidiaries as a whole, and of its financial performance and cash flows in accordance with International Financial Reporting Standards as adopted by the European Union.

02 March 2026

Mihkel Torim
Chairman of the Management Board
/signed digitally/

Meelis Paakspuu
Member of the Management Board
/signed digitally/

Jüri Heero
Member of the Management Board
/signed digitally/

Kadri Haldre
Member of the Management Board
/signed digitally/